

IN GOLD WE TRUST

As equity and real estate give negative returns, investors turn to bank deposits and gold which means a protracted slowdown

| By Malini Bhupta |

Mauled by the bears in the past one year, Indian investors have dumped the equity markets for safe havens like gold and bank deposits. Given that the Sensex has fetched negative returns of over 52 per cent (-52) and shares on stock markets around the world have lost an estimated \$14 trillion in value in the last one year, investors have been left with no choice but to shift away from high-risk assets like stocks and currency. Gold perhaps is the only asset class that is untouched by the global recession, as demand for the precious metal shows sustained growth.

Indians may not be buying consumer durables or automobiles, but they haven't stopped buying jewellery. According to the World Gold Council, Indian consumers at the retail level have bought gold worth Rs 88,056 crore in 2008, as opposed to Rs 71,761 crore in 2007, an increase of 22.7 per cent over the previous year. With gold prices having moved up from Rs 11,751 per 10 grams in January 2008 to Rs 16,000 in February 2009, those who have invested in this are laughing all the way to their banks. With returns of 32 per cent, the precious

metal has outperformed most of the asset classes in 2008. In 2009, till February 25, the gold price has appreciated 10.1 per cent, which works out to an annualised return of 81 per cent. But instead of profit booking, the demand for gold has only increased. With compounded annualised returns of 19.54 per cent over five years, the performance of gold has been consistent even in the long term. Jayant

Manglik, president, Religare Commodities, says that in the current environment, gold is considered to be safe as investors expect inflation to rise after the announcement of stimulus packages by different countries, and gold acts as a hedge against inflation.

Traditionally, whenever there is political uncertainty or economic turbulence, gold prices rally as the precious metal is like ready cash. For

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